

Umeme Limited

2017 Interim Results

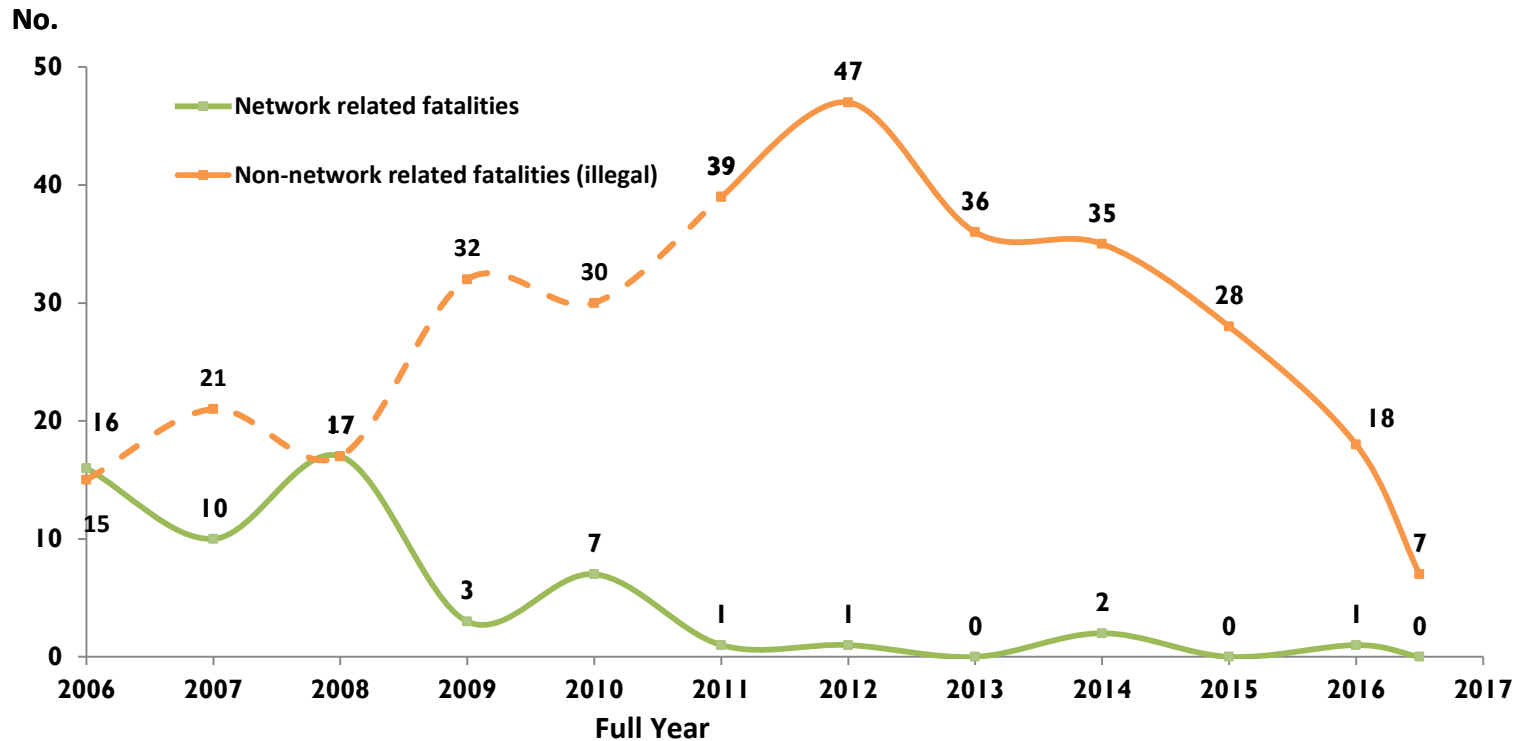


Overview

- ☐ Safety performance
- ☐ Electricity demand & macro update
- ☐ Regulatory developments
- ☐ HI 2017 Investments
- ☐ Operational & financial update
- ☐ Electricity generation update
- ☐ Summary & Outlook

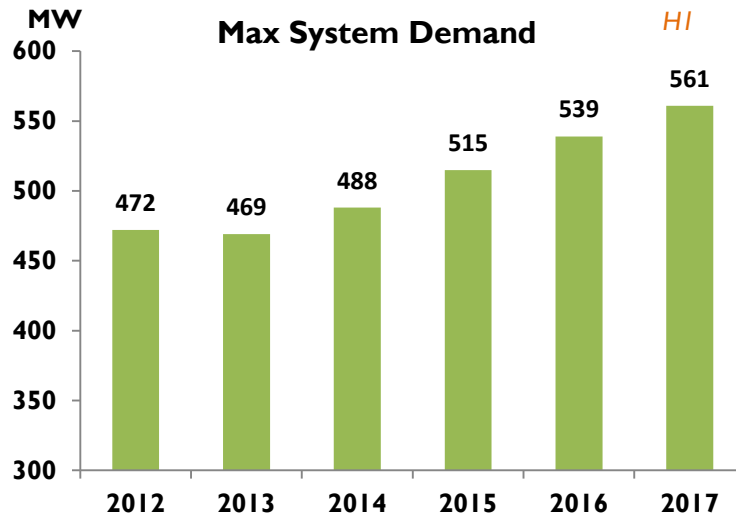
Safety

No network related fatality in HI 2017



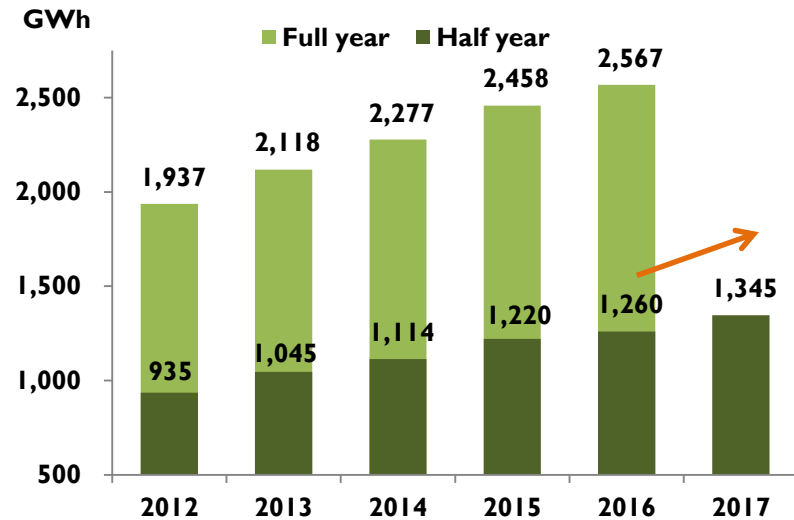
Non-network fatalities incl. power theft, domestic electrics, network interference, way-leaves encroachment and unauthorized operations

Growing electricity demand



Peak demand in HI 2017
up 4.1% at 561 MW

Effective generation
estimated at 680MW



Improving macro-environment

HI 2017 GWh sales up 6.7%
(FY16: 4.4%) driven by industrial
demand and lower grid losses

Regulatory Developments

Amendment 5 issued in May 2017

- *Accrued growth factor and tax receivables amounting to Ushs 115.3 billion impairment provisions*
- *No further reconciliations of growth factor revenues*
- *Recovery of prior growth factor amounts ongoing*

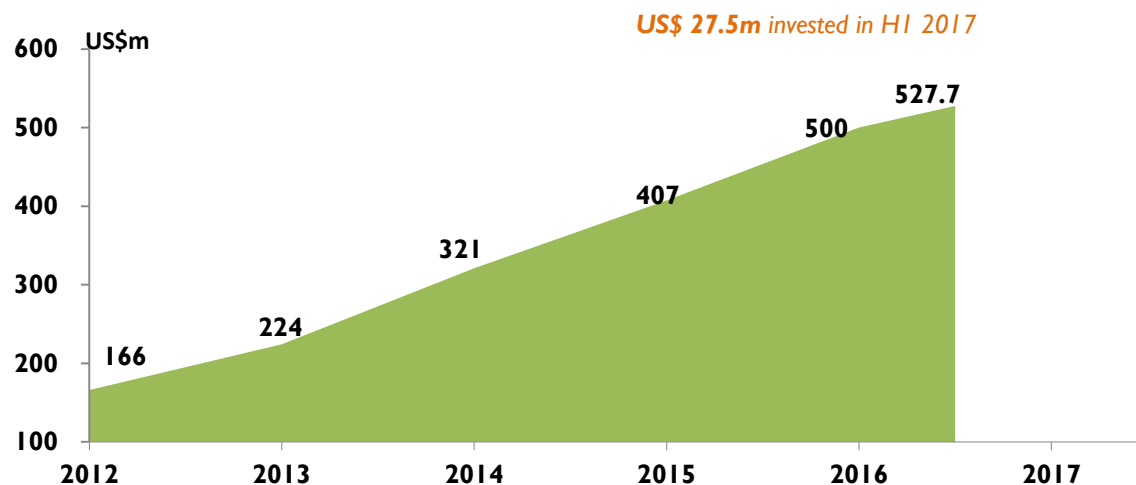
Power Supply Price Reconciliation

- *Actual power supply costs against related billing revenues for period Jan 2010- Jun 2017*
- *Ushs 87.7 billion (US\$ 24.4m) due to Umeme*

Capex Approvals process

Capital Investments

Cumulative Capital investment



Sample projects in HI 2017

Load Growth

- Moniko Substation Interconnection lines (US\$ 8.0m)
- Roofings Namanve Quality of Supply (US\$ 4.8m)
- Ishaka substation works (US\$ 1.5m)
- Kakiri service area improvement (US\$ 1.3m)
- Tororo Cement Industries (US\$ 0.5m)
- Tembo Steel supply quality improvement (US\$ 0.8m)

Pre-payment Metering

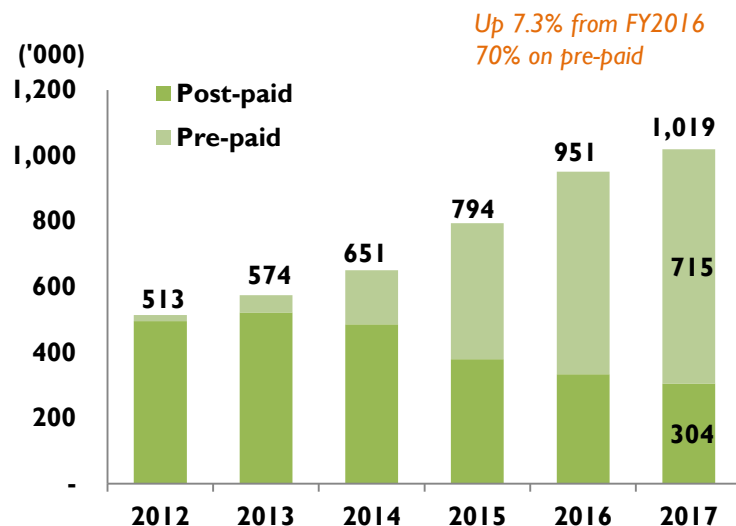
- New Connections (+69k)
- Post-paid customer conversions (+20k)
- Government of Uganda pre-paid installations
- Loss reduction & improved revenue collection

Automated Metering

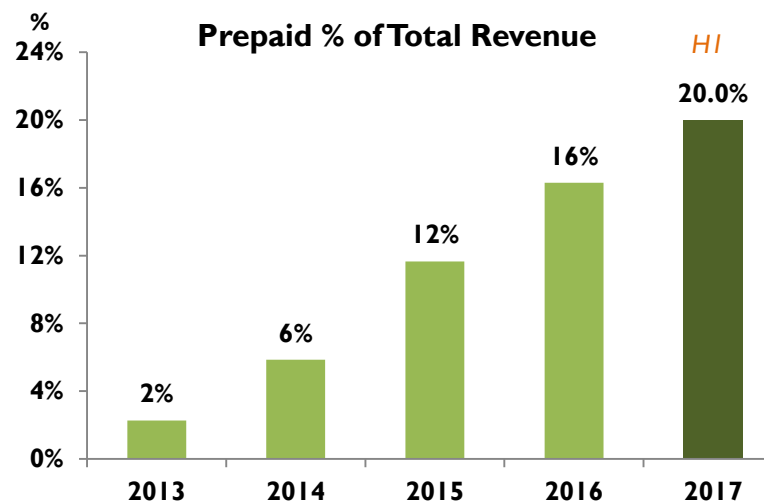
- Improved metering and revenue cycle efficiency

Customers & Revenue Split

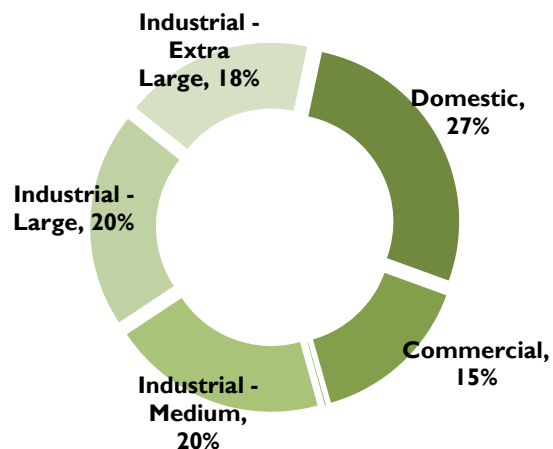
Customer numbers



Prepaid Revenue Share



Revenue Contribution

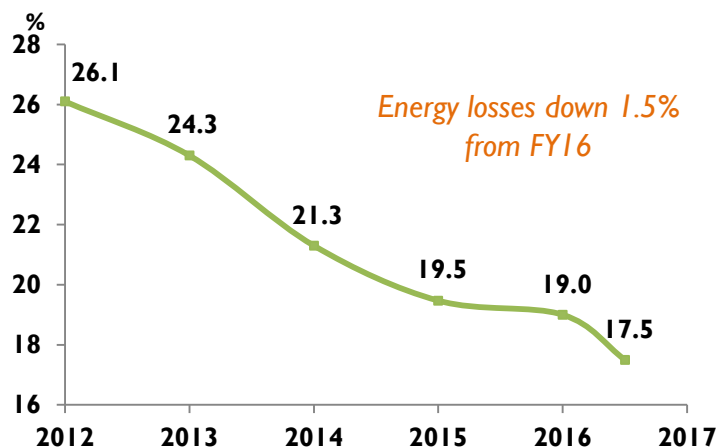


Sales & Revenue Growth

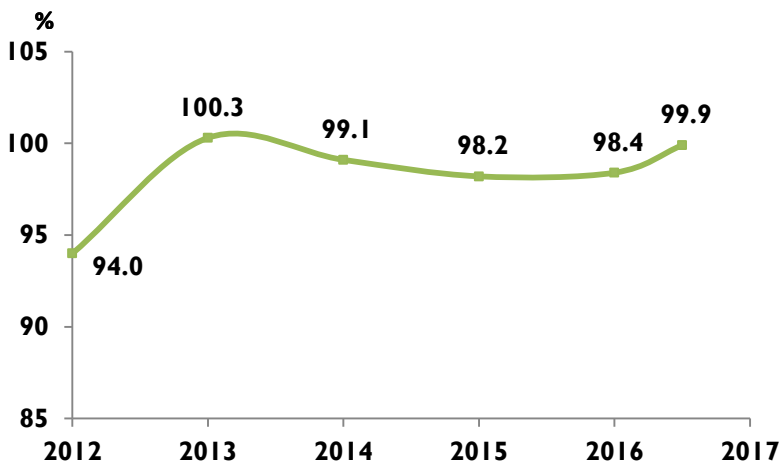
Category	Sales		Revenue	
	GWh	HI Growth (y/y)	FY 2016 (%)	Ushs Growth (y/y)
Domestic	312.4	+9.0%	+2.6%	189.6 +11.2%
Commercial	165.3	+4.8%	+4.3%	104.8 +12.0%
Street Lighting	0.8	+17.7%	+3.0%	0.6 +26.7%
Industrial - Medium	211.1	+1.2%	+3.3%	139.4 +7.3%
Industrial - Large	655.6	+8.1%	+5.9%	262.3 +10.3%
Total	1,345.2	+6.7%	+4.4%	696.7 +10.2%

Operational performance

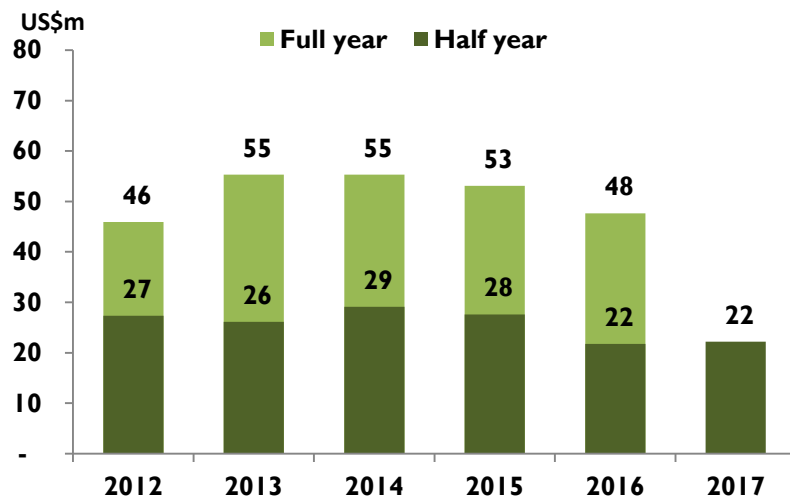
Energy losses



Revenue collection



Operating costs



Regulatory targets*

Tariff parameter	'13	'14	'15	'16	'17	'18
Energy losses (%)	19.6	21.0	18.9	17.4	16.1	15.1
Collection rate (%)	81.1	97.5	97.7	97.9	98.2	98.5
Operating allowance (US\$m) **	36.5	44.4	45.7	47.2	48.7	50.2

* Umeme financial year (Jan-Dec). Tariff year runs from 1st March

** Allowance is adjusted annually for international and local inflation

Financial performance (US\$)

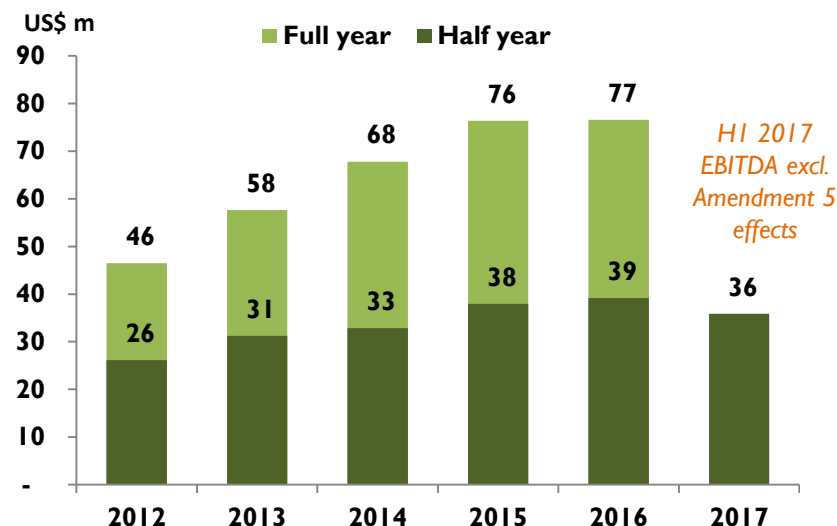
Financials Summary (US\$m)

Income Statement	HI 2017	HI 2016	%ch
Revenue	195.2	194.6	+0.3%
Cost of Sales	(134.8)	(131.8)	+2.2%
Gross Profit	60.4	62.7	-3.7%
Operating Expenses	22.2	21.7	+2.2%
EBITDA	4.0	39.1	-89.8%
EBITDA (ex Amendment 5)	35.9	39.1	-8.5%
Finance Costs (ex. lease)	8.2	5.9	+38.2%
Profit Before Tax	(15.7)	23.6	-
PBT (Adjusted)	16.2	23.6	-31.4%
Profit After Tax	(13.1)	16.1	-
PAT (Adjusted)	11.3*	16.1	-29.5%

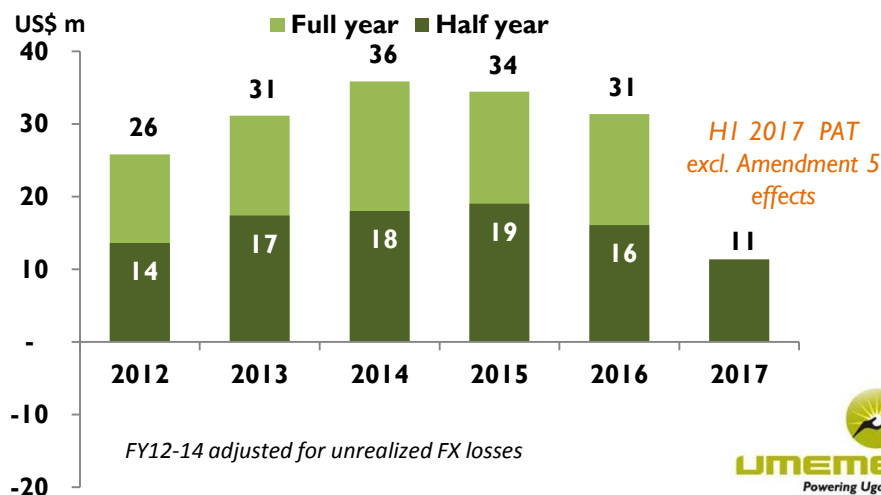
*Assuming 30% tax rate on adjusted PBT

Financial Position at	HI 2017	FY 2016	%ch
Total Assets	593.1	606.2	-2.2%
Shareholders Equity	138.1	163.8	-15.7%
Net Debt	207.7	201.2	+3.2%

EBITDA (US\$)



Profit after tax (US\$)



Financial performance (Ushs)

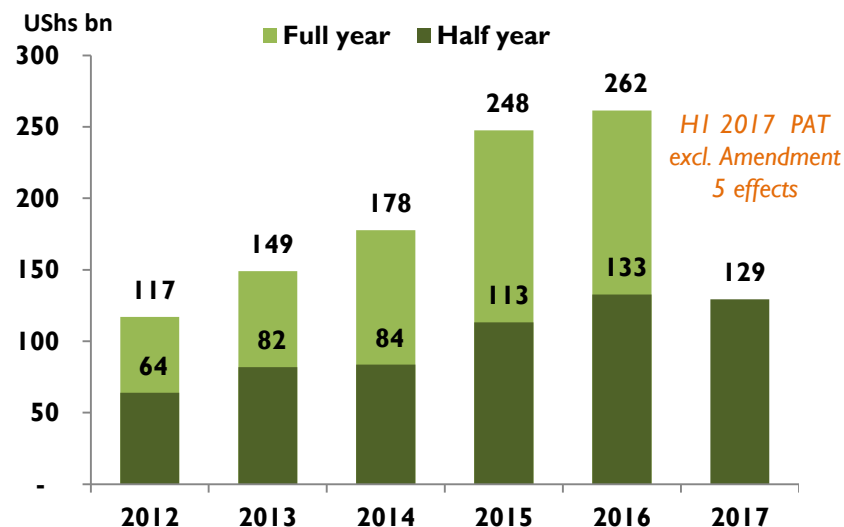
Financials Summary (Ushs bn)

Income Statement	HI 2017	HI 2016	%ch
Revenue	704.4	658.7	+6.9%
Cost of Sales	(486.4)	(446.3)	+9.0%
Gross Profit	218.0	212.4	+2.6%
Operating Expenses	80.2	73.7	+8.9%
EBITDA	14.2	132.7	-89.3%
EBITDA (ex Amendment 5)	129.4	132.7	-2.4%
Finance Costs (ex. lease)	29.6	20.1	+47.3%
Profit Before Tax	(56.7)	80.2	-
PBT (Adjusted)	58.6	80.2	-26.9%
Profit After Tax	(47.5)	54.5	-
PAT (Adjusted)	41.0*	54.5	-24.8%

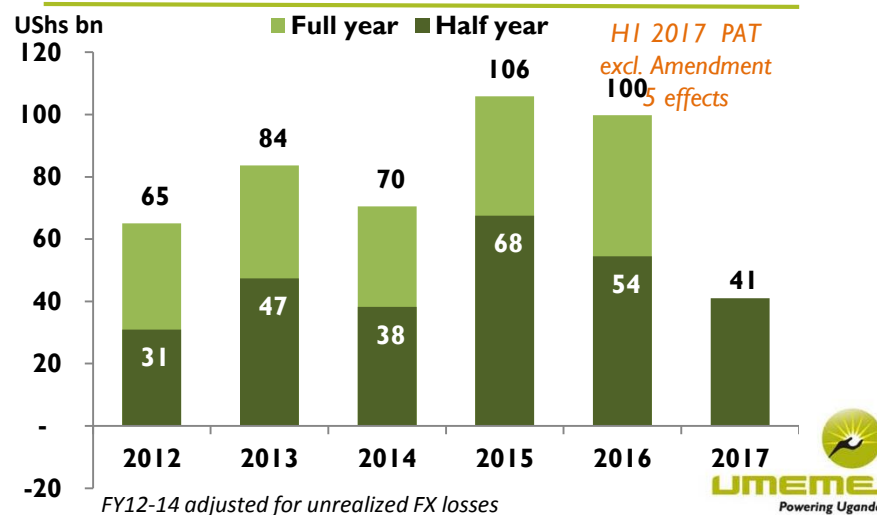
*Assuming 30% tax rate on adjusted PBT

Financial Position at	HI 2017	FY 2016	%ch
Total Assets	2,131.9	2,191.9	-2.7%
Shareholders Equity	496.2	592.1	-16.2%
Net Debt	730.8	727.3	+0.5%

EBITDA (Ushs)

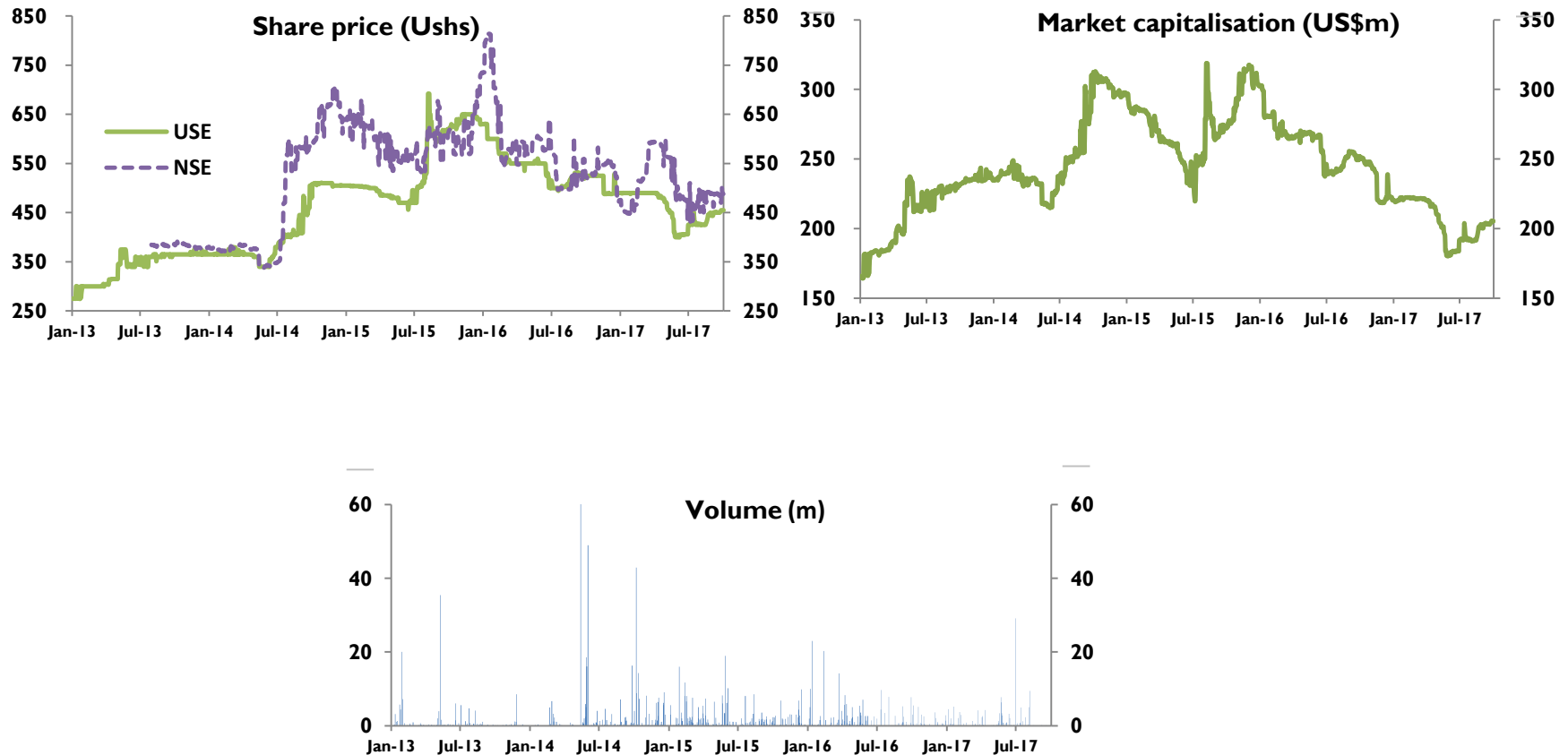


Profit after tax (Ushs)



Trading update

Market cap US\$205m at Ushs 455 share price



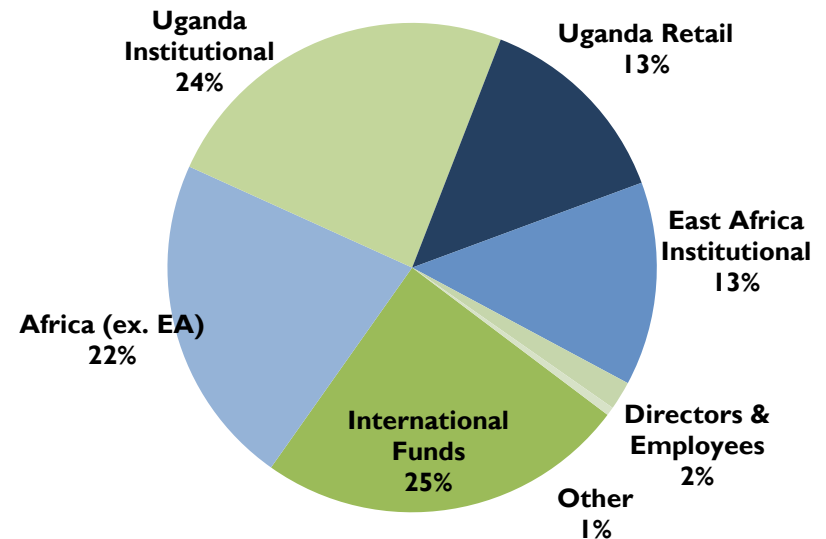
Umeme Shareholders

Shareholder Summary

No.	Top 20 Shareholders (August 2017)	% Held
1	National Social Security Fund Uganda	23.2%
2	Allan Gray*	9.1%
3	Kimberlite Frontier Africa Master Fund	7.6%
4	Investec Asset Management Africa Fund	4.8%
5	Utilico Emerging Markets Limited	4.3%
6	The Africa Emerging Markets Fund	3.9%
7	International Finance Corporation	2.8%
8	Coronation Global Opportunities Fund	2.6%
9	Duet Fund	2.5%
10	Imara SP Reid	1.9%
11	Boutique Collective Investments	1.6%
12	Vanderbilt University	1.2%
13	Conrad N Hilton Foundation	1.1%
14	Kuwait Investment Authority	1.1%
15	Central Bank Of Kenya Pension Fund	0.9%
16	William Byaruhanga	0.8%
17	Old Mutual	0.8%
18	Frontier Market Opportunities Master Fund	0.7%
19	Pinebridge SSA Equity Master Fund	0.7%
20	National Social Security Fund Kenya	0.6%
	Other	28%

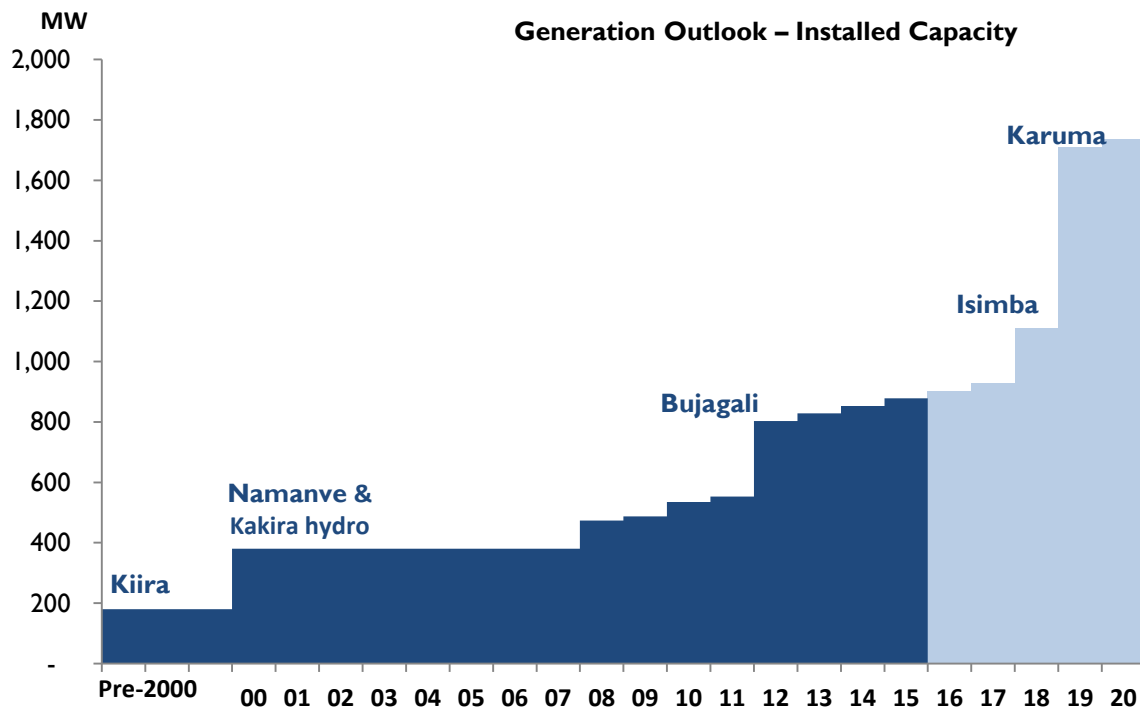
*Aggregated accounts

Umeme Shareholder Distribution (Aug 2017)



Generation Pipeline

Generation Pipeline + 1000MW



Large-hydro:

- ✓ Karuma - 600 MW (71% completed)
- ✓ Isimba - 183 MW (76% completed)
- ✓ Agago-Achwa – 83 MW
- Ayago - 600MW
- Orianga - 400MW
- Kiba - 290MW
- Agago-Achwa – 83 MW
- Muzizi - 44MW

Mini-hydros (GET-FIT): 156.5 MW inc.

- ✓ Siti I – 5 MW
- ✓ Waki – 4.8 MW
- ✓ Lubilia – 5.4 MW
- ✓ Rwimi – 5.5 MW
- ✓ Muvumbe – 6.5 MW
- ✓ Nyagak 3 – 5.4 MW

Other

- ✓ Soroti Solar – 10 MW
- ✓ Tororo Solar – 10 MW
- Siti II - 16.5 MW
- Kikagati – 16 MW
- Kabale Peat plant 33 MW
- Kabale geothermal 30MW

Source: Umeme, UETCL, MEMD

Summary & Outlook

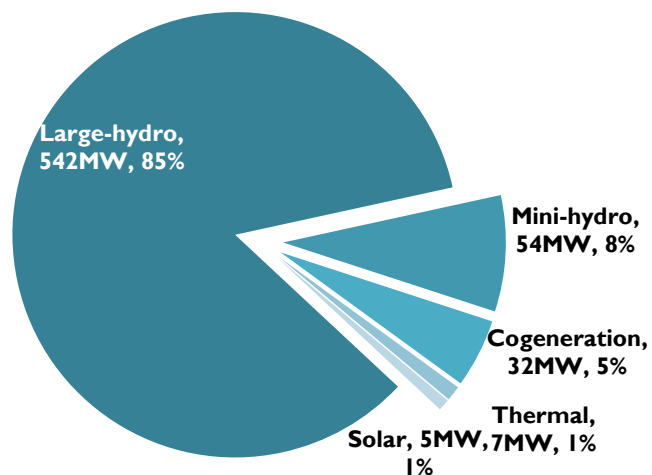
- H2 Tariff recoveries
- Recognition of investments & Recovery of regulatory income
- Negotiation of 2019-2025 regulatory targets
- Upcoming Generation Investments
- Staff development in line with sector needs
- Strategic financial advisor mandate
- Concession Tenure Review

Appendices

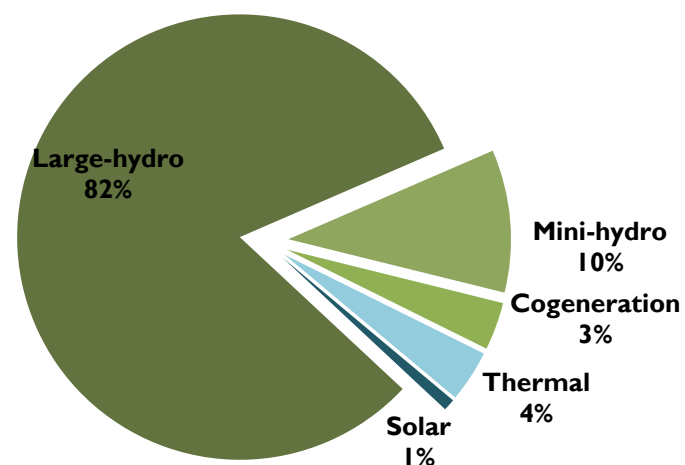
- Appendix 1: Generation overview
- Appendix 2: Tariff analysis
- Appendix 3: Distribution Tariff Margin

Appendix I: Generation overview HI 2017

Energy supply mix (Effective Generation)

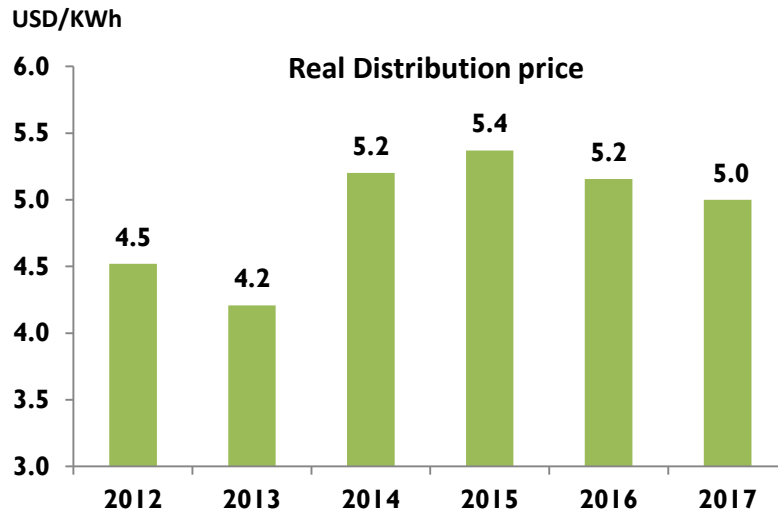


Average Monthly Dispatch

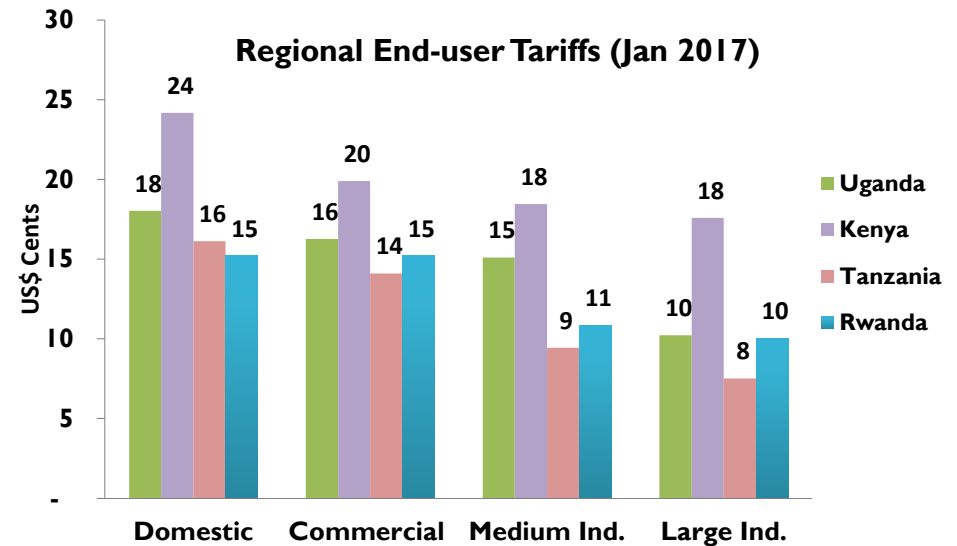


Source: Umeme, UETCL, MEMD

Appendix 2: Tariff analysis



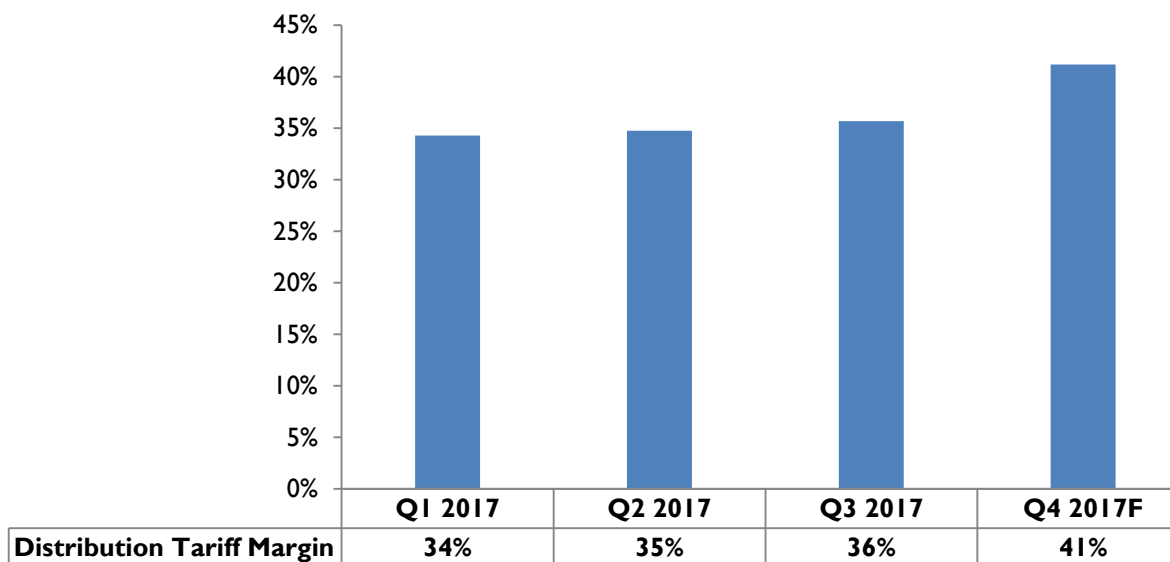
Umeme distribution price is approx. 30% of end-user tariff



Uganda's tariffs competitive relative to Kenya. Uganda with favourable generation mix – 85% hydro

Appendix 3: Distribution Tariff Margin

Distribution Tariff Margin (Q1-Q4 2017)



Margin improvement in Q3 and Q4 forecast attributed to tariff recoveries for \$11m approved capex in Q2.